

Bocconi

LEARNING TO READ A BALANCE SHEET 30060 – MANAGEMENT

Walsh Book

Department of Management & Technology



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AGENDA

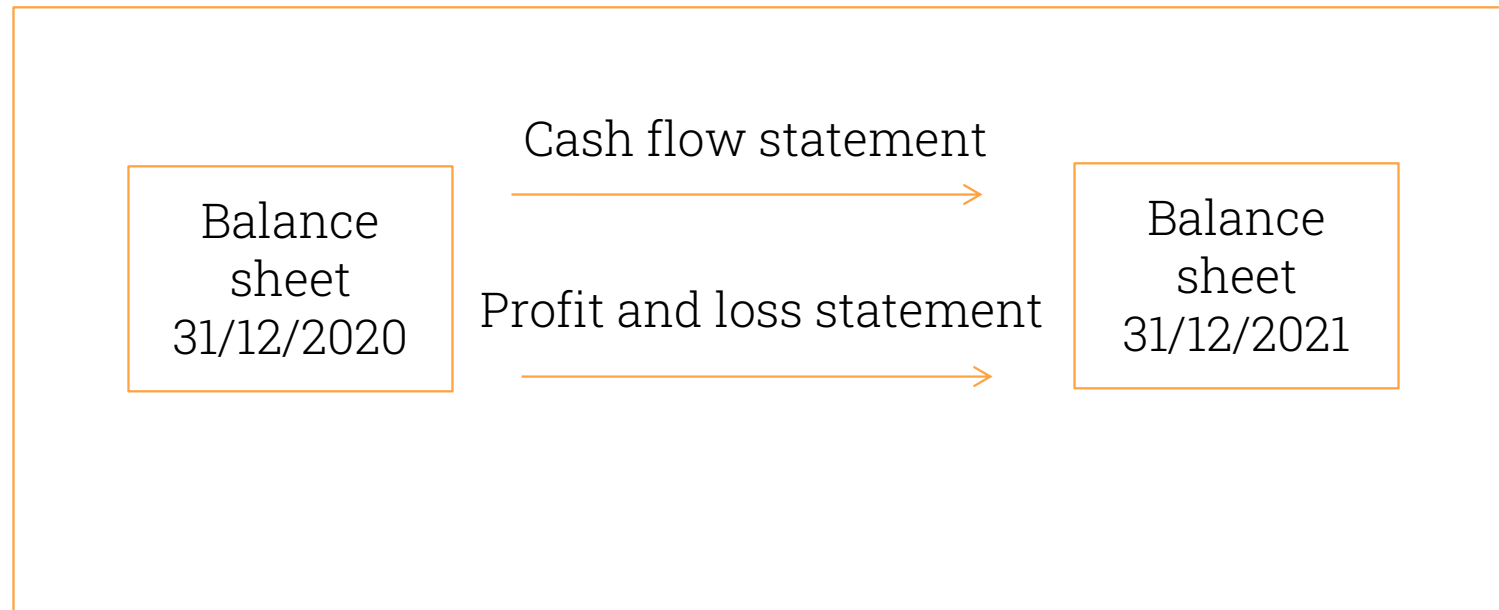
1. ASSETS: FIXED ASSETS
2. ASSETS: CURRENT ASSETS
3. LIABILITIES: OWNER'S FUNDS
4. LIABILITIES: LONG-TERM LOANS
5. LIABILITIES: CURRENT LIABILITIES
6. USED AGGREGATIONS
7. SUMMARY OF MAIN POINTS



Recall the definition of Balance Sheet (B/S)

A snapshot of the assets used by the company and the funds that are related to these assets at an instant in time





Assets and Liabilities always balance

Assets	Liabilities
List of items of value owned by the business	Amounts due to third parties, including the owners
Uses e.g. how did the company spent 1000 \$	Funds e.g. where did 1000 \$ come from
Total = 1,000 €	Total = 1,000 €



The 5 boxes of the Balance Sheet



Assets	Liabilities
Fixed assets Net fixed assets Investments Intangibles	Owners' funds Issued common stocks Capital reserves Revenue reserves
Current assets Inventories Accounts receivable Cash and cash equivalents Miscellaneous	Long-term loans Bank loans Bonds issued
	Current liabilities Short term loans Accounts payable Miscellaneous

We define **ASSETS**

Assets are resources controlled by the firm as a result of past events and from which future economic benefits are expected to flow to the firm.



We define **LIABILITIES**

Liabilities are the financial obligations a company owes to outside parties.



1.0

FIXED ASSETS



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Assets	Liabilities
Fixed assets Net fixed assets Investments Intangibles	Owners' funds Issued common stocks Capital reserves Revenue reserves
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We define **NET FIXED ASSETS**

Physical items needed for the operations of the firm.

Application: machineries, computers, buildings.



Fixed Assets

MACHINERIES



COMPUTERS



BUILDINGS



We define **INVESTMENTS**

Shares in other (non-consolidated) companies



Which one is an investment?



owns 10%

owns 100%



We define **INTANGIBLES**

Assets that do not have a physical presence but have a value for firm's activities.

Application: Patents, Reputation, Goodwill



Patents

DEFINITION

A government license that gives the holder exclusive rights to a process, design or new invention for a designated period of time

Source: Investopedia

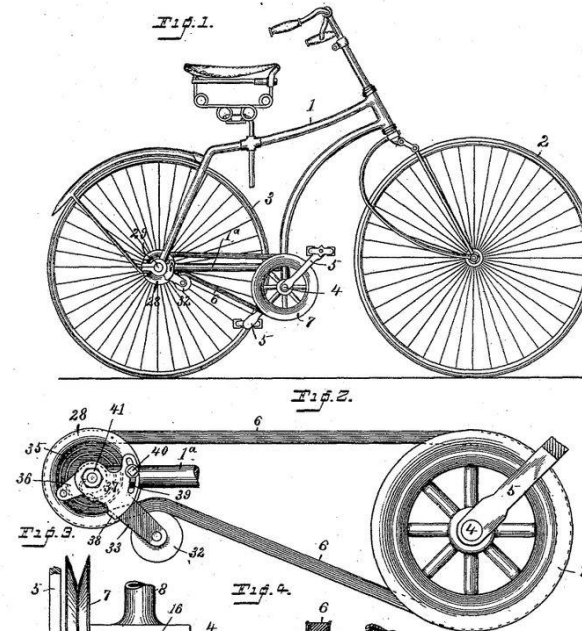
(No Model.)

C. D. RICE.
BICYCLE.

2 Sheets—Sheet 1.

No. 425,390.

Patented Apr. 8, 1890.



Goodwill

Definition

The value of intangibles in another company that the focal one has acquired, as reflected in the price it paid (reflected only in the consolidated statement)

Example

Company A pays 125\$ for company B. Company B's net assets are 100\$.

On consolidation, the extra consideration of 25\$ is not balanced by physical assets. So, an intangible asset of this amount must be created.



The most valuable brands in 2020

(Forbes)

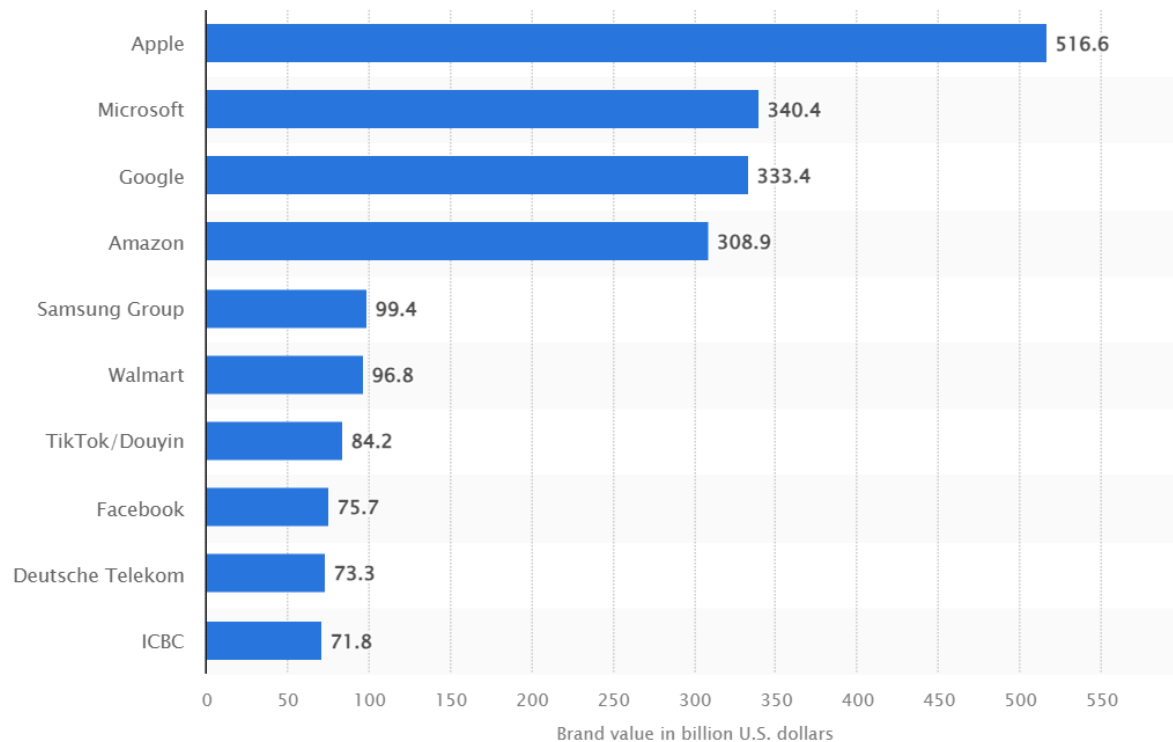


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	Rank	Brand	Brand Value	1-Yr Value Change	Brand Revenue	Company Advertising	Industry
	#1	Apple	\$241.2 B	17%	\$260.2 B	-	Technology
	#2	Google	\$207.5 B	24%	\$145.6 B	\$6.8 B	Technology
	#3	Microsoft	\$162.9 B	30%	\$125.8 B	\$1.6 B	Technology
	#4	Amazon	\$135.4 B	40%	\$260.5 B	\$11 B	Technology
	#5	Facebook	\$70.3 B	-21%	\$49.7 B	\$1.6 B	Technology
	#6	Coca-Cola	\$64.4 B	9%	\$25.2 B	\$4.2 B	Beverages
	#7	Disney	\$61.3 B	18%	\$38.7 B	\$4.3 B	Leisure
	#8	Samsung	\$50.4 B	-5%	\$209.5 B	\$4 B	Technology
	#9	Louis Vuitton	\$47.2 B	20%	\$15 B	\$7 B	Luxury
	#10	McDonald's	\$46.1 B	5%	\$100.2 B	\$365 M	Restaurants

The most valuable brands in 2024

(Statista)



2.0

CURRENT ASSETS



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Assets	Liabilities
Fixed assets Net fixed assets Investments Intangibles	Owners' funds Issued common stocks Capital reserves Revenue reserves
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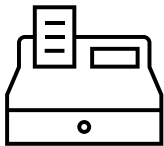
We define **ACCOUNT RECEIVABLE**

Amount due from customers within a year (trade credit)



Account receivable

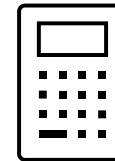
**WHEN CUSTOMERS
PURCHASE GOODS OR
SERVICES ON CREDIT**



**CUSTOMERS
PAYMENTS ARE
DEFERRED**



**UNPAID GOODS/SERVICES
ARE RECORDED AS ACC.
RECEIVABLES**



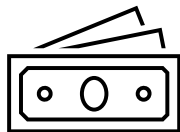
We define **CASH and EQUIVALENTS**

Liquidity means available to the firm



Cash and equivalents

CASH



SHORT TERM LOANS



LIQUID SECURITIES



We define **INVENTORIES**

Goods and raw materials held for purpose of resale
Application: Ingredients for a food manufacturer.



Inventories

RAW MATERIAL



FINISHED PRODUCTS



We define **MISCELLANEOUS**

Other readily payable credits
Application: pre-paid taxes



3.0

LIABILITIES: OWNER'S FUNDS



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Issued common stocks – an example

NOMINAL VALUE = 2,50 \$

The price of a stock when it was issued, rather than its current market value

i.e. 32m issued shares; par value is 2,5\$; total value = 80m \$

BOOK VALUE = 11,35 \$

Owners' funds (360m\$) divided by number of issued shares (32m)

MARKET VALUE = 22,5\$

Number of common shares X stock price per share. It is the price quoted in the Stock Exchange for a public company or estimated price for a non-quoted company



Issued common stocks

Shares of ownership of the firm held by the investors (Stockholders)

NOMINAL VALUE

$$\frac{\text{Issued Common Stock}}{\text{No. of stocks}}$$

BOOK VALUE

$$\frac{\text{Net Worth}}{\text{No. of stocks}}$$

MARKET VALUE



We define **CAPITAL RESERVES**

Amounts retained in the company which have been generated from sources other than normal trading (But cannot be easily distributed as dividends to shareholders).

Application: Surplus deriving from the re-evaluation of one asset (e.g. Building).



We define **REVENUE RESERVES**

Amounts retained in the company which have been generated by trading (trading profits), often used to finance firm growth.



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LIABILITIES: LONG TERM LOANS



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We define **LONG TERM LOANS**

Debts that shall be payed within 3-5 years (medium-term) or even more than 20 years (long-term).

Application: Issued bonds (not due within 12 months) and Mortgage loans.



Long term loans

CORPORATE BONDS



MORTGAGE



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CURRENT LIABILITIES



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We define **SHORT TERM LOANS**

Debts towards financial institutions or other entities (debt-holders) which are due within one year

Application: Bonds to be paid within 12 months



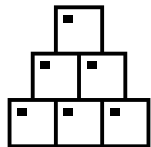
We define **ACCOUNTS PAYABLE**

Amount due to suppliers within one year (trade debt)



Account payable

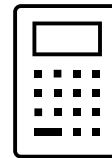
**GOODS OR SERVICES HAVE
BEEN RECEIVED**



**THE AMOUNT DUE TO
SUPPLIERS FOR GOODS OR
SERVICES IS DEFERRED**



**THE DEFERRED AMOUNT IS
RECORDED AS ACCOUNT
PAYABLE**

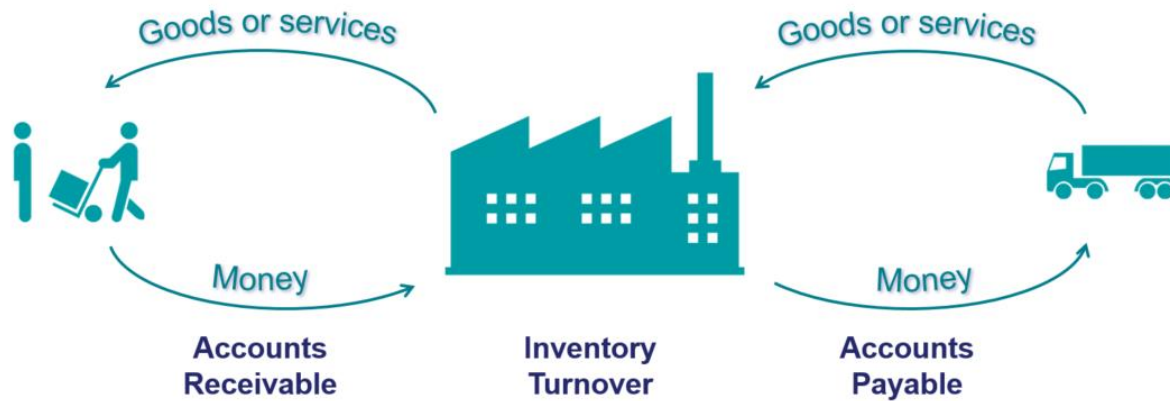


We define **MISCELLANEOUS**

Other debts that shall be paid within 1 year
Application: Current taxes and Due-dividends



The Cash Conversion Cycle



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USED AGGREGATIONS



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Total assets=
fixed assets +
current assets

(or also $\sum$ liabilities)

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Capital employed=
owners' funds
+ long-term loans

(or also= fixed assets
+ current assets
– current liabilities)

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Working capital =
current assets
- current liabilities

(or also = owners' funds
+ long-term liabilities -
fixed assets)

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We define **WORKING CAPITAL**

Amount of day-to-day operating liquidity available to a business.

Very low (negative) working capital may pose the firm at risk of running out of money.

Excessive working capital means funds which earn no profit cannot earn the required rate of return on investment



Owners' funds =
 fixed assets
 + current assets
 - current liabilities
 - long-term loans
 (Total assets -
 outstanding debt is
 what belongs to
 shareholders)



Assets	Liabilities
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SUMMARY OF MAIN POINTS



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01

Definitions and components of Assets and Liabilities in the Balance sheet.

02

Definition and computation of main financial ratios



THANK YOU